

## QUARTERLY PORTFOLIO REPORT

## Portfolio Performance and Attribution - Q1 2025

Date: April 15, 2025 | Ref: QR-2025-Q1

Reporting Period: January 1 - March 31, 2025

Total AUM: \$8.7 billion CAD

Period Return (blended): +6.2%

Benchmark Return (blended): +5.8%

Active Return: +0.4%

### Market Overview

Q1 2025 was broadly positive for global equity markets despite early volatility driven by uncertainty around US trade policy and Federal Reserve communication. The S&P 500 rose 5.5%, the S&P/TSX Composite gained 3.1%, and MSCI EAFE added 4.8% (in local currency). Fixed income markets benefited from Bank of Canada rate cuts with the FTSE Canada Universe Bond Index returning 1.9% for the quarter.

Key market themes: AI infrastructure spending continued to accelerate with NVIDIA, Microsoft, and Alphabet all reporting strong data centre revenue growth. Canadian banks began recovering as mortgage credit concerns eased and the BoC delivered its fourth consecutive 25bp cut in March. Energy stocks underperformed as WTI crude declined 8% on demand concerns and OPEC supply increases.

### Portfolio Performance by Asset Class

- Canadian Equity (+4.1%): Outperformed S&P/TSX Composite (+3.1%). Strong contributions from Royal Bank (+8.2%), Brookfield Asset Management (+11.3%), and CP Kansas City (+6.7%). Underperformed by Enbridge (-2.1%) as natural gas prices weakened.
- US Equity (+8.4%): Outperformed S&P 500 (+5.5%). Overweight NVDA and MSFT significant contributors. Underweight consumer staples and utilities detracted modestly.
- International Equity (+5.9%): In line with MSCI EAFE. ASML and Novo Nordisk contributed positively. SAP detracted after guidance miss.
- Fixed Income (+2.1%): Outperformed FTSE Canada Universe (+1.9%). Duration extension benefit and credit spread tightening contributed.
- Real Estate (+1.8%): Underperformed sector benchmark (+2.4%). REITs lagged as office and retail headwinds continued despite rate relief.
- Infrastructure (+3.3%): Strong quarter driven by Brookfield Infrastructure (+9.1%) and Fortis (+5.2%). Defensive income characteristics attractive.

### Asset Allocation Changes

During Q1 2025, the Investment Committee approved the following allocation changes: (1) Increased US Equity from 18% to 20% to capture continued AI infrastructure momentum; (2) Reduced Fixed Income from 27% to 25% as rate outlook improves; (3) Initiated a 2% position in Infrastructure following conviction view on regulated utility valuations.

Outlook: We enter Q2 2025 with a constructive but selective risk posture. Equity valuations are elevated in the US (particularly technology), but earnings growth remains supportive. Canadian equities offer better relative value. Fixed income duration positioning remains modestly long given BoC easing trajectory. We are monitoring geopolitical risks including US trade tariff announcements as a potential source of volatility.

### Risk Monitoring

Portfolio beta to global equities: 0.89 (below benchmark of 1.00), reflecting defensive tilt through quality factor and lower-beta sector positioning. Value-at-Risk (95%, 1-day): \$42.3M. Maximum drawdown since inception: -18.4% (Q4 2022). Current drawdown from all-time high: -0.8%.